

Qualitative Assessment

Cricut, Inc.

2026

Summary

What do they sell?

Cricut sells a creativity platform built around connected cutting machines, design software, subscriptions, accessories, and materials.

The core products are connected machines such as the Cricut Joy, Explore, Maker, and Venture families. These machines cut, write, score, engrave, and create decorative effects on materials like paper, vinyl, iron-on vinyl, leather, wood, and fabric.

Cricut also sells:

- Cricut Access subscriptions
- Digital images, fonts, templates, and ready-to-make projects
- Heat presses and hand tools
- Branded materials such as vinyl, cardstock, iron-on, transfer tape, and Infusible Ink
- Accessories and replacement tools

The business is not just a hardware company. The better description is a hardware-enabled creative ecosystem where the initial machine purchase creates future opportunities to sell subscriptions, materials, accessories, and content.

Who buys it?

Customers are primarily individual consumers, hobbyists, crafters, gift-makers, teachers, parents, and small creative entrepreneurs.

The user base is heavily female. As of December 31, 2025, 94% of users identified as women. Many customers use Cricut to make personalized gifts, home décor, cards, apparel, labels, stickers, and small-batch custom products. According to company research, 53% of users bought their machine to make personalized gifts and 23% of users make projects to sell.

Cricut also serves small sellers who use the machines as low-cost production tools for customized goods sold through platforms like Etsy, local markets, or direct customer orders.

Why do customers buy from them instead of others?

The customer is not simply buying a cutting machine. They are buying the machine, software, guided project flows, templates, content library, branded materials, community ideas, and a large installed base of other users creating tutorials and sharing projects.

This ecosystem reduces friction for non-technical users. A beginner can buy a machine, open Design Space, choose a template, use Cricut-branded materials, and complete a project without needing to understand professional design software or commercial production tools.

Cricut also benefits from strong word-of-mouth. In 2025, 35% of new users first heard about Cricut through friends and family, and 89% of users made projects for other people rather than themselves. That makes the product naturally visible to others.

Earnings

What are the primary drivers of earnings?

Earnings are primarily driven by the size and engagement of the active user base.

The machine sale brings the customer into the ecosystem. After that, earnings depend on whether users continue creating projects and buying subscriptions, accessories, materials, and digital content.

Important drivers include:

- Active users
- Paid subscribers
- Machine sales and replacement cycles
- Materials and accessories attach rate
- Subscription growth and retention
- Gross margin on consumables and digital products
- Operating discipline after the pandemic demand surge

The financial history shows a business that grew rapidly during the pandemic and then reset lower. Revenue peaked at about \$1.31 billion in 2021 and declined to about \$709 million by 2025. However, operating income improved from about \$76 million in 2024 to about \$96 million in 2025, showing that the business can still produce solid profits even after the revenue decline.

Does the company have pricing power, or are prices determined by the market?

Cricut appears to have moderate pricing power in subscriptions, branded accessories, and materials, but limited pricing power in machines.

The machines compete with alternatives from Brother, Silhouette, Siser, Graphtec, Loklik, and others. Hardware pricing is likely competitive because customers can compare machine features and prices directly.

Pricing power is better inside the ecosystem. Once a user owns a Cricut machine and uses Design Space, Cricut-branded materials, compatible tools, and Cricut Access become more convenient. The company can monetize through content, subscriptions, and consumables after the original machine sale.

However, the pricing power is not unlimited. Users can buy third-party materials, upload their own designs, use free design resources, or switch to competing machines when replacing hardware. This makes the moat real but not dominant.

Are earnings stable, cyclical, or unpredictable? Why?

Earnings are somewhat unpredictable and discretionary.

Cricut is profitable and debt-free, but its revenue history shows that demand is not fully stable. Revenue rose sharply from about \$487 million in 2019 to about \$1.31 billion in 2021, then declined to about \$709 million by 2025. That suggests pandemic-era demand pulled forward a large amount of machine adoption and crafting activity.

The subscription and consumables components should be more stable than machine sales because existing users continue creating projects over time. As of December 31, 2025, Cricut had nearly 5.9 million active users and just over 3.09 million paid subscribers, which gives the company a recurring revenue base.

Still, the business depends on consumer discretionary spending, crafting trends, engagement levels, and the health of the broader DIY/personalization market. Earnings are not as predictable as a utility, payroll processor, funeral home operator, or other necessity-based business.

Moat

What competitive advantage allows this company to earn strong returns compared to competitors?

Cricut's moat comes from ecosystem integration, brand, community, software, and switching friction. It is a real moat, but not an unbreakable one.

Cost advantage:

Limited.

Cricut outsources manufacturing and does not appear to have a structural cost advantage that competitors could not replicate. Scale helps with purchasing, distribution, software development, and content creation, but the accessories and materials market has low barriers to entry.

Network effects:

Moderate.

This is one of the more interesting parts of the business. The more Cricut users there are, the more projects, tutorials, social media posts, templates, and word-of-mouth exist around the ecosystem. That makes it easier for new users to learn and increases the value of being in the Cricut community.

However, the network effect is not as strong as a marketplace or social network. A Cricut machine still works even if the community is smaller, and users can find design inspiration outside Cricut.

Switching costs:

Moderate.

Switching costs exist because users accumulate machines, tools, materials, saved projects, design habits, subscriptions, and familiarity with Design Space. A user who has learned Cricut's ecosystem may not want to relearn another platform.

However, switching costs are not permanent. Customers can use third-party materials, upload outside designs, cancel subscriptions, or buy a competing machine when upgrading. The switching costs support retention but do not fully protect the business.

Brand:

Strong.

Cricut appears to be the leading consumer brand in connected crafting machines. The brand is associated with creativity, personalization, gifts, DIY projects, and small home businesses.

The brand matters because many customers are non-technical users who want a product that feels approachable, trustworthy, and widely supported. Cricut's large community and social presence reinforce that brand advantage.

Regulation:

None.

Scale:

Moderate.

Scale matters in software development, content production, retail distribution, brand awareness, customer support, and data collection. Cricut has millions of active users, millions of paid subscribers, and major retail partners including Amazon, Target, Walmart, Michaels, Best Buy, Costco, Hobby Lobby, and others.

That scale gives the company advantages over smaller competitors. However, it does not eliminate competition, especially in materials, accessories, and digital content.

Asset ownership:

Limited.

Cricut does not own irreplaceable physical assets. The more important assets are intangible: brand, software, patents, content library, user data, and community.

The company does have intellectual property, including issued patents and trademarks, but management itself states that employee skill, product functionality, and frequent platform enhancements are larger contributors to success than legal protection alone.

Geographic monopoly:

Cricut sells globally through online and retail channels. There are no local geographic monopolies.

Capital Allocation

Have they diluted shareholders?

Not meaningfully, shares outstanding were about 208 million in 2019 and about 217 million in 2025. There was some increase around the IPO period, but there has not been major long-term dilution in the recent public company period.

The share count has also declined slightly from the 2021 level, suggesting that management has not relied heavily on equity issuance after becoming public.

Are buybacks intelligent or desperate?

Too early to call strongly, but they do not appear desperate.

The business has no debt, a large cash balance, and has produced meaningful free cash flow. Repurchases in this context are more rational than defensive.

However, the key question is price paid. Because revenue declined materially after the pandemic peak, buybacks only create value if management repurchases shares at prices below intrinsic value and does not mistake a temporary earnings base for a normalized one.

Debt behavior rational?

Cricut has no debt as of the latest financial summary and held about \$256 million of cash in 2025. This is a major positive.

Acquisitions disciplined?

Cricut does not appear to be an acquisition-driven story. The company has focused on organic product development, software, content, subscriptions, and international expansion.

How has management historically used free cash flow?

Free cash flow has been used primarily to:

- Maintain a strong cash balance
- Reinvest in software, product development, content, and international expansion
- Pay dividends in some years
- Repurchase shares modestly

The company generated strong free cash flow in recent years despite declining revenue, including about \$176 million in 2025. That is a very attractive feature if the cash flow is durable.

Failure

How could this business fail?

The most realistic failure path is not bankruptcy, because the company has no debt and a large cash balance. The more realistic failure is economic deterioration.

Cricut could fail as an investment if the installed base becomes less engaged over time. If users buy machines, use them briefly, and then stop crafting, the expected lifetime value from subscriptions, materials, and accessories would be lower than assumed.

The company could also suffer if the pandemic permanently inflated the user base and demand continues normalizing downward. Revenue has already fallen sharply from the 2021 peak, so the question is whether 2025 represents stabilization or simply another step in a longer decline.

Competition is another risk. Machines can be copied, materials have low barriers to entry, and digital content can come from Canva, Etsy, Creative Fabrica, free online resources, or AI tools.

How could competitors or technology disrupt this business?

Competitors could disrupt Cricut by offering cheaper machines, more open software, better materials compatibility, or lower-cost content libraries.

Technology could also reduce Cricut's advantage. Generative AI makes digital design easier and may reduce the value of curated image libraries. General design tools like Canva can become more powerful and user-friendly. If users can easily create professional designs outside Cricut, the Design Space content advantage weakens.

However, Cricut still has an important bridge between digital design and physical creation. The disruption risk is not that people stop making personalized physical goods. The risk is that Cricut loses control of the most profitable parts of that process.

Ownership

If the stock market closed for 10 years, would I want to own this entire business?

Possibly, but only at the right price.

The business has attractive qualities. It is profitable, debt-free, cash generative, has a large user base, a recognized brand, millions of paid subscribers, and a real ecosystem around creative production.

However, I would be uncomfortable owning it blindly for 10 years because demand is discretionary and the long-term normalized earnings power is still unclear. The historical financials include a pandemic boom and post-pandemic reset, which makes it difficult to know what the business looks like in a normal environment.

Why will this business still exist in 20 years?

Cricut will likely still exist because personalization, gifting, crafting, home-based creativity, and small-scale custom production are durable human behaviors.

People like making personalized items for friends, family, homes, schools, events, holidays, and small businesses. Cricut gives ordinary consumers the ability to make professional-looking physical goods without professional equipment.

The exact machines, software, and content tools may change, but the underlying desire to turn digital ideas into customized physical products is likely to remain. Cricut's challenge will be staying the default platform for that behavior.

Final

What do I not understand? What makes me uncomfortable?

The biggest uncertainty is normalized demand.

Cricut's financial history is distorted by the pandemic. Revenue nearly tripled from 2019 to 2021, then declined sharply from 2021 to 2025. The company remained profitable and cash generative, which is impressive, but it is still unclear whether the current revenue base is stable.

The second uncertainty is user engagement. The business depends on users continuing to make projects after buying a machine. Active users and paid subscribers look strong, but the key question is whether engagement is durable over many years or fades as the novelty of the machine wears off.

The third concern is competitive protection. Cricut has a real brand and ecosystem, but not an unavoidable product. Machines can be competed against, materials can be substituted, content can be sourced elsewhere, and AI may reduce the value of curated design libraries.

Finally, the company has excellent financial characteristics on the surface—no debt, strong cash balance, high free cash flow—but I need to understand whether those cash flows are sustainable or temporarily elevated from inventory normalization, cost reductions, and reduced investment after the pandemic boom.

Pass or Fail to Phase 3?

Pass to Phase 3.

Cricut is worth valuing.

The business is understandable, profitable, debt-free, cash generative, and has a recognizable brand with millions of active users and paid subscribers. The ecosystem creates moderate switching costs, community effects, and repeat purchase opportunities through subscriptions, accessories, materials, and content.

However, this should be a cautious pass. The business is not obviously a great compounder yet because revenue has declined significantly from the pandemic peak and long-term normalized demand is uncertain. The valuation should be conservative and should focus heavily on whether 2025 earnings and free cash flow are sustainable.